GOETHE MBA | STUDY SCRIPT

Strategic Management and Organizational Change

Johannes Pauls

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Based on course material by Prof. Dr. Lars Schweizer, Dr. Carsten Hentrich, Michael Pachmajer, accompanying readings and class notes.

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1 Strategic Direction and Objectives

1.1 What Strategy Must Accomplish

- **Strategy**: Linked long-term choices about objectives, markets, competitive positioning, and resource allocation.
- **Strategic management**: Formulating, implementing, and adapting strategy to secure long-term success.
- **Strategic fit**: Matching external opportunities and threats with internal strengths and weaknesses.

Four requirements for strategic success:

- 1) clear long-term goals
- 2) understanding the external environment
- 3) understanding resources and capabilities
- 4) effective implementation

Under uncertainty, strategy provides direction rather than a fully predictable plan.

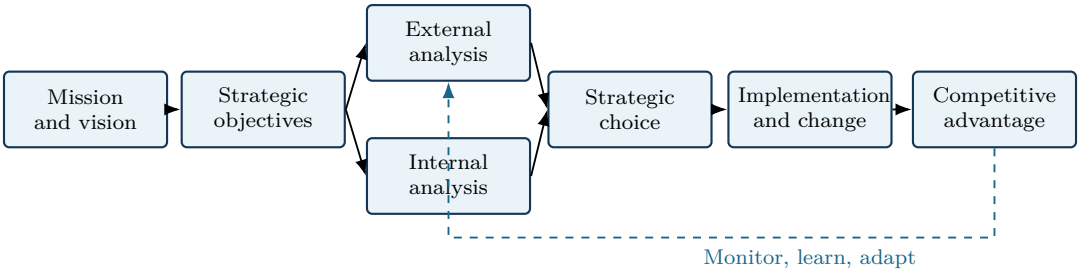


Figure 1: Strategic management links mission, environmental and resource analysis, choice, implementation, and learning.

1.2 Corporate and Business Strategy

- **Corporate strategy: Where to compete**: Which businesses should the corporation own or enter? Choices include diversification, acquisitions, divestitures, vertical integration, and allocating capital between business units. Parenting advantage exists when the corporate parent adds value beyond what the businesses could achieve independently.
- **Business strategy: How to compete**: How should a business win in its selected industry or segment? Choices include price, differentiation, innovation, and strategic partnerships. The objective is competitive advantage.

The two levels must be consistent: a business may be competitive individually without belonging in the right corporate portfolio.

1.3 Company Objectives: Shareholders and Stakeholders

- **Shareholder value maximization (SVM)** prioritizes the long-term value created for equity owners. Its appeal is a clear decision criterion. Possible problems include short-term incentives, excessive risk-taking, and ignored externalities.
- **Stakeholder perspective** calls for creating sustainable value while considering employees, customers, suppliers, communities, creditors, investors, and other affected parties.

1.4 Vision, Mission, and a Clear Strategy Statement

- **Mission**: Why does the firm exist? Its enduring purpose.
- **Vision**: What future does it want to create? An effective vision is imaginable, desirable, feasible, focused, flexible, and communicable.
- **Values**: Principles guiding organizational behavior.
- **Strategic objective**: A specific, measurable and time-bound result that guides choices.

Collis and Rukstad recommend one succinct, distinctive **strategy statement** with three elements:

1. **Objective (ends)**: What is to be achieved, and by when?
2. **Scope (domain)**: Which customers, offerings, locations and activities are in or out?
3. **Advantage (means)**: Why will the chosen customers prefer the firm, and which distinctive activities make this possible?

2 Strategic Analysis and Competitive Advantage

2.1 Linking Outside and Inside: SWOT and PESTEL

SWOT integrates external opportunities/threats and internal strengths/weaknesses.

	Opportunities	**Threats**
Strengths	**SO: Use strengths** Which opportunities can our distinctive strengths capture?	**ST: Defend with strengths** Which strengths help us counter external threats?
Weaknesses	**WO: Close capability gaps** Which opportunities are lost because of weaknesses?	**WT: Reduce exposure** Which threats become severe because of weaknesses?

Figure 2: Useful SWOT matrix must be specific and comparative.

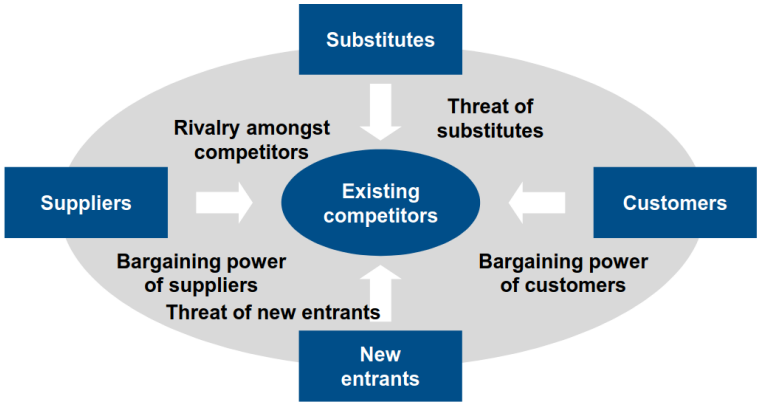
PESTEL screens the macro-environment:

- ***P*olitical**: Government priorities, subsidies, geopolitics, trade policy.
- ***E*conomic**: Inflation, interest rates, exchange rates, household income.
- ***S*ocial/demographic**: Customer behavior, age structure, lifestyles.
- ***T*echnological**: Innovation, automation, digital platforms, software.
- ***E*nvironmental/natural**: Emissions, energy, climate, resource scarcity.
- ***L*egal**: Regulation, safety, competition law, labor law.

A trend matters strategically only after asking: *What happens to demand, industry rivalry, and this firm's choices?* For instance, tighter emissions standards may raise transition costs but also stimulate an electric-vehicle market.

2.2 Industry Attractiveness: Porter's Five Forces

The Five Forces model describes structural pressure on industry profitability. Strong forces generally constrain industry profit potential. It is different from evaluating whether a particular company is strong.



- **Rivalry**: Stronger with many similarly sized firms, slow growth, high fixed costs, little differentiation, or high exit barriers.
- **New entrants**: More likely when capital requirements, scale economies, switching costs, access barriers and expected retaliation are low.
- **Supplier power**: Stronger with concentrated suppliers, scarce alternatives, high switching costs, or credible forward integration.
- **Buyer power**: Stronger with concentrated/informed customers, large purchases, low switching costs, or credible backward integration.
- **Substitutes**: Stronger when alternatives solve the same customer problem at an attractive price–performance ratio.

2.3 Industry Boundaries, Segments, and Key Success Factors

- **Demand-side substitution**: Alternatives customers regard as satisfying the same need (car, rail or ride-hailing for some journeys).
- **Supply-side substitution**: Producers can redirect capabilities to serve neighboring markets.
- **Segmentation**: Distinguishes customer groups with different needs, willingness to pay, or buying behavior; strategic groups classify competitors with similar approaches.
- **Convergence**: Previously separate technologies or markets overlap (e.g., cars, software, and mobility services); industry boundaries must be reassessed.

Key success factors (KSFs) are the conditions a firm must meet to succeed in a market segment. They follow the questions: "What do customers want?" and "How must firms survive competition?" A company with the wrong KSFs may underperform even in an attractive industry.

Efficient analysis sequence: Define the competitive arena → assess forces → segment customers/competitors → identify KSFs → compare firms' capabilities.

2.4 Resource-Based View and Types of Resources

The market-based view starts outside-in: find an attractive position given customer demand and market structure. The resource-based view (RBV) starts inside-out: build on distinctive assets

and skills. They are complementary. Resources are in general assets and inputs that are controlled by the firm, capabilities describes its ability to coordinate resources into effective activities.

- **Financial resources**: Cash, retained earnings, and financing capacity.
- **Physical resources**: Buildings, equipment, inputs, and locations.
- **Human resources**: Skills, experience, expertise, and knowledge.
- **Organizational resources**: Routines, reporting systems, culture, relationships, and processes.

Intangibles such as brands, patents, and reputation matter; they may span these four lecture categories. A core competence is a strategically central and developed capability rather than merely an activity a company performs.

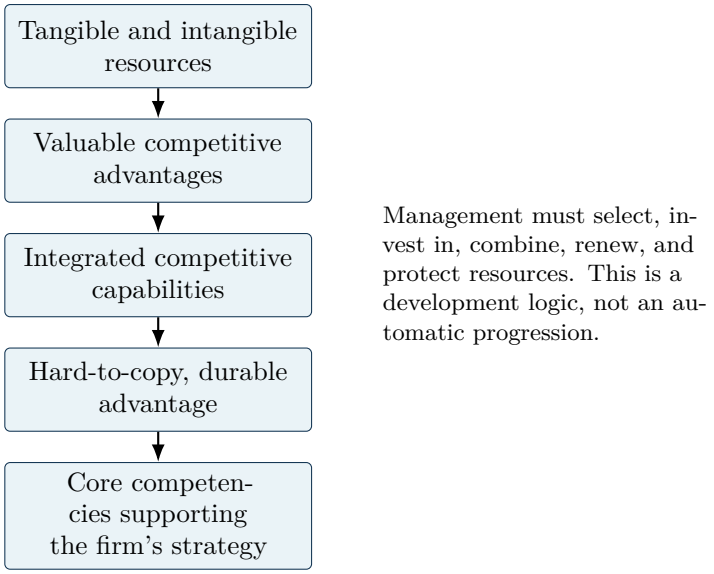


Figure 3: From resources to sustainable advantage

2.5 VRIN/VRIO and the Three-Step Capability Audit

Criterion	Meaning	Key Question
V	Valuable	Does the resource create customer value or exploit opportunities?
R	Rare	Is the resource scarce relative to competitors?
I	Inimitable	Is it difficult to imitate due to history, causal ambiguity, or social complexity?
N	Non-substitutable	Are there no strategically equivalent alternatives?
O	Organized	Are structures, systems, and incentives in place to exploit the resource?

Table 1: VRIN and VRIO criteria for evaluating strategic resources.

Typical VRIO outcomes:

- Not valuable → disadvantage
- valuable but common → parity

- valuable/rare but imitable → temporary advantage
- valuable/rare/hard to imitate but poorly organized → unexploited potential
- all criteria → potential sustained advantage, subject to market change.

„ "
The three-step audit conists of:

1. **Identify** critical resources and capabilities (e.g., software engineering, purchasing, brands, operations).
2. **Appraise** each by strategic importance and relative strength versus competitors, each on a 1–10 scale. Benchmark against rivals; also consider whether capabilities are improving or declining.
3. **Derive strategic implications**: Exploit key strengths, remedy critical weaknesses, and question strengths that customers no longer value.

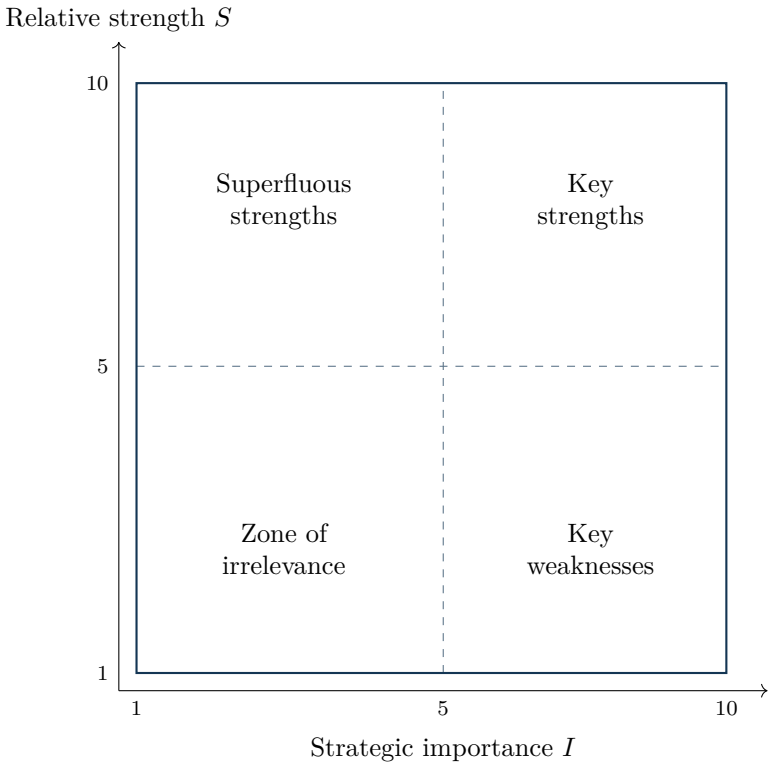


Figure 4: Importance versus relative-strength matrix

Financial capacity and change readiness also matter: assess cash flows, ability to raise capital, leadership, and culture before committing to a costly strategic shift.

2.6 Value Chain and Strategic Choice

Type	Activity	Purpose
Primary	Inbound logistics	Receiving, storing, and handling inputs.
	Operations	Transforming inputs into products or services.
	Outbound logistics	Distributing finished products to customers.
	Marketing & Sales	Promoting and selling products or services.
	Service	Maintaining customer value after purchase.
Support	Firm infrastructure	Management, finance, planning, and administration.
	Human resource management	Recruiting, training, and developing employees.
	Technology development	R&D, innovation, and process improvement.
	Procurement	Acquiring resources, materials, and services.

Table 2: Porter's value chain: primary and support activities.

Value-chain analysis identifies where activities generate customer value, create differentiation, or offer opportunities for cost reduction.

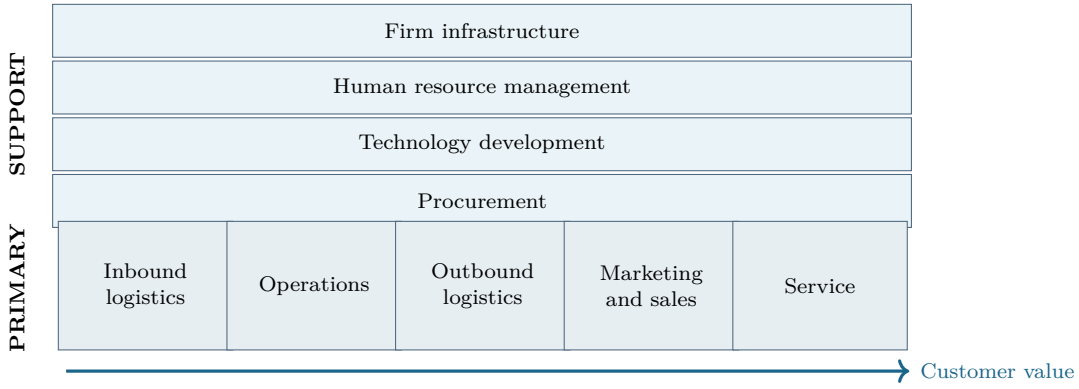


Figure 5: Porter's internal value chain

- **Strategic value analysis**: Which activities raise customer-perceived value and willingness to pay?
- **Strategic cost analysis**: Which activities and supplier/distribution links drive relative cost?
- **Strategic trade-off**: Cost leadership and differentiation require different activity configurations; excessive cuts can damage what customers value.
- **Build, buy, ally, outsource**: Options for closing resource gaps; a partner can add capabilities but also create dependency.

3 Organizational Change and Transformation

3.1 Why Change Is Needed and What It Means

- **Organizational change**: Modifying how the organization operates or behaves.
- **Transformation**: Broad, fundamental redirection, often involving several changes in parallel.
- **Restructuring**: Reconfiguring structures, assets, processes, responsibilities, or costs; it may be part of a transformation.
- **Change management**: Supporting people and the organization from the current *as-is* state to the desired *to-be* state while reducing the performance gap.

Past success can make organizations slow to react. Kodak and Nokia illustrate how established routines and assumptions can delay adaptation.

3.2 The Hard and Soft Sides of Transformation

- **Hard side**: Structures, processes, technology, responsibilities, and resources.
- **Soft side**: Motivation, understanding, leadership, trust, culture, and behavior.

The organizational core consists of structure, processes, technology, leadership and culture, and competences/capabilities. The frormal organization defines roles and rules; the informal organization comprises networks, norms, power relations and trust. Neglecting either can undermine implementation.

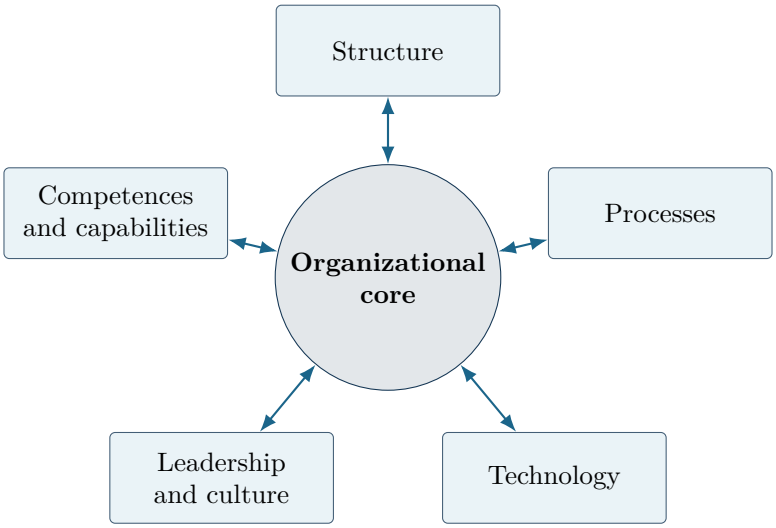


Figure 6: Five interdependent foundations of the effective organization

3.3 Success Factors, Barriers, and the Productivity Gap

3.4 Success Factors and Barriers to Change

What helps change:

- Vision and urgency: Clear direction and a compelling reason to change.
- Leadership and participation: Management support and stakeholder involvement.
- Planning and execution: Actionable roadmap, clear responsibilities, and sufficient resources.
- Capabilities and partnerships: Employee training, external expertise, and collaboration.

- Motivation and reinforcement: Incentives, quick wins, and post-launch support.
- Organizational readiness: Flexible structures and suitable technology.

What hinders change:

- Unrealistic assumptions: Expecting change to succeed automatically.
- Poor leadership and communication: Unclear vision and decision-making responsibilities.
- xecution gaps: Misalignment between change design and implementation.
- Change fatigue: Employee exhaustion and declining motivation.
- Insufficient readiness: Missing skills, innovation capabilities, or market readiness.
- Resistance to new approaches: Reliance on previously successful practices.

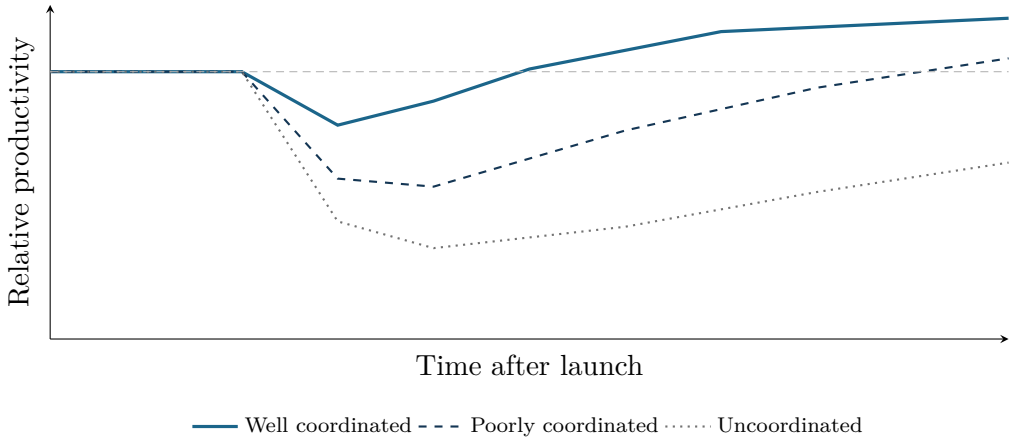
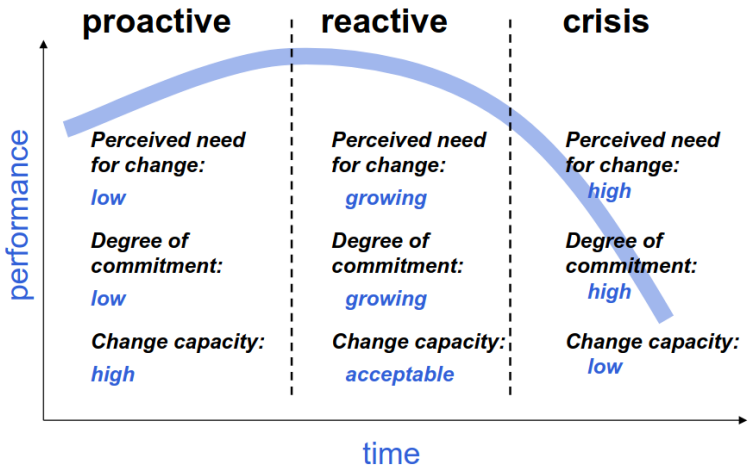


Figure 7: Schematic productivity dips in differently managed transitions

The conceptual productivity gap illustrates an implementation dip: disruption can temporarily reduce performance before benefits emerge. Change management seeks to reduce the dip and accelerate effective adoption.

3.5 Timing and Types of Change



- **Proactive**: Act before serious decline; typically more maneuvering room, often less perceived urgency.

- **Reactive**: Respond to visible pressure; urgency rises while options narrow.
- **Crisis change**: Act under severe time/resource pressure; commitment and speed may be high but capacity restricted.

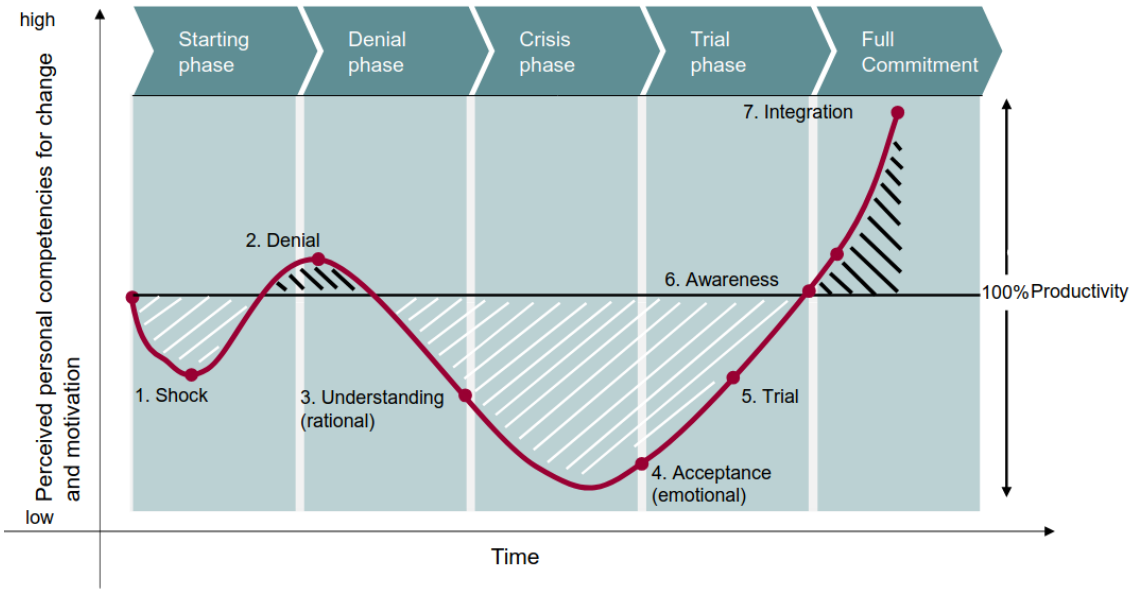
Two independent distinctions: top-down versus bottom-up concerns who initiates change; incremental versus transformational concerns how extensively the organization changes

3.6 Resistance and Individual Responses

The lecture distinguishes three depths of resistance:

1. **"I don't get it"** (understanding): Provide evidence, concrete explanations, and a credible case.
2. **"I don't like it"** (emotion): Listen to concerns, involve people, and address personal consequences.
3. **"I don't like you"** (trust): Rebuild relationships and leadership credibility.

Resistance can reflect valid concerns, not only unwillingness. People experience change at different speeds; sponsors may have accepted the change long before employees learn about it.



4 Leading and Implementing Change

4.1 Roles of Change Agents and Individual Support

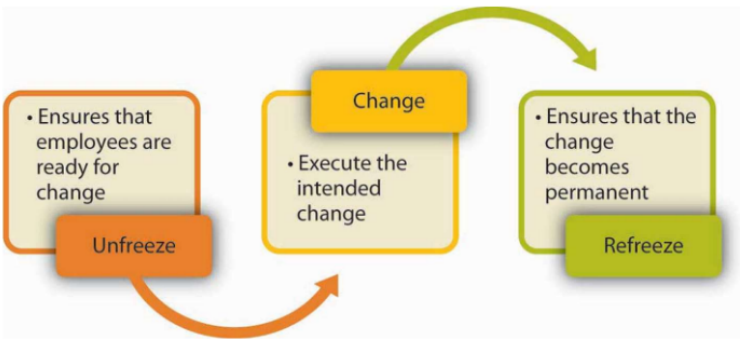
- **Top management (change generators)**: Create urgency, articulate the vision, secure commitment and resources.
- **Middle management (change implementers)**: Translate goals into daily practice, coach staff, and remove barriers.
- **Employees/frontline management (change adopters)**: Test, perform, stabilize, and improve new practices.
- **External specialists**: Contribute an outside view or missing expertise where useful.



The **will–ability matrix** guides intervention:

- motivated but unskilled → train
- able but reluctant → listen, discuss and motivate
- willing and able → empower
- neither → coach, provide structure and follow up.

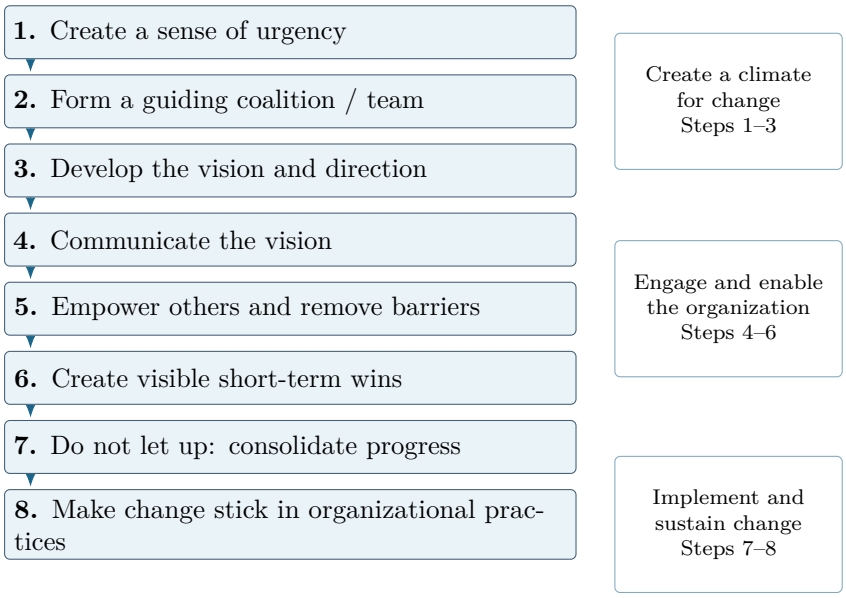
4.2 Lewin: Unfreeze, Change, Refreeze



1. **Unfreeze**: Explain why existing routines are insufficient and create readiness.
2. **Change**: Introduce and support new practices; enable people to learn.
3. **Refreeze**: Reinforce practices with structures, incentives and routines.

Force-field analysis: Change can be encouraged by increasing driving forces (e.g., incentives) and/or reducing restraining forces (e.g., fear, capability gaps). In fast-changing settings, "refreezing" means embedding useful habits without abandoning future adaptability.

4.3 Kotter's Eight Steps



4.4 Change Formula and Project Planning

Change Formula:

$$\underbrace{V}_{\text{Vision}} \times \underbrace{P}_{\text{Process}} \times \underbrace{D}_{\text{Dissatisfaction}} > \underbrace{R}_{\text{Resistance}} \tag{1}$$

Change requires a clear vision, an actionable process, and sufficient dissatisfaction with the current state to overcome resistance.

Six Guiding Questions for Change Projects:

- **Goal:** What exactly should be achieved?
- **Ultimate aim:** Why is the change necessary?
- **Stakeholders:** Who is involved or affected?
- **Success criteria:** How will success be measured?
- **Timeframe:** When must the change be implemented?
- **Resources:** What resources are available?

4.5 Integrated Case: Automotive Transformation

The following is a case application about the german car manufactuaring:

1. **External diagnosis**: PESTEL reveals policy, emissions, technology, and changing customer preferences; Five Forces show new entrants, battery/software supplier power, and mobility substitutes.
2. **Internal diagnosis**: Evaluate manufacturing and brand strengths alongside gaps in battery, software, speed of innovation, and the capacity to finance transition.
3. **Strategic choice**: Select market segments and a value proposition; decide which technologies to build internally and which to access through partnerships.

4. **Implementation**: Reconfigure structure, retrain employees, involve suppliers and worker representatives, and support new capabilities without assuming acquired start-ups must adopt legacy routines.

X-strategy captures the illustrative dual transition: legacy combustion-engine competencies decline as electric-vehicle competencies grow. Its crossover timing is company- and market-dependent.

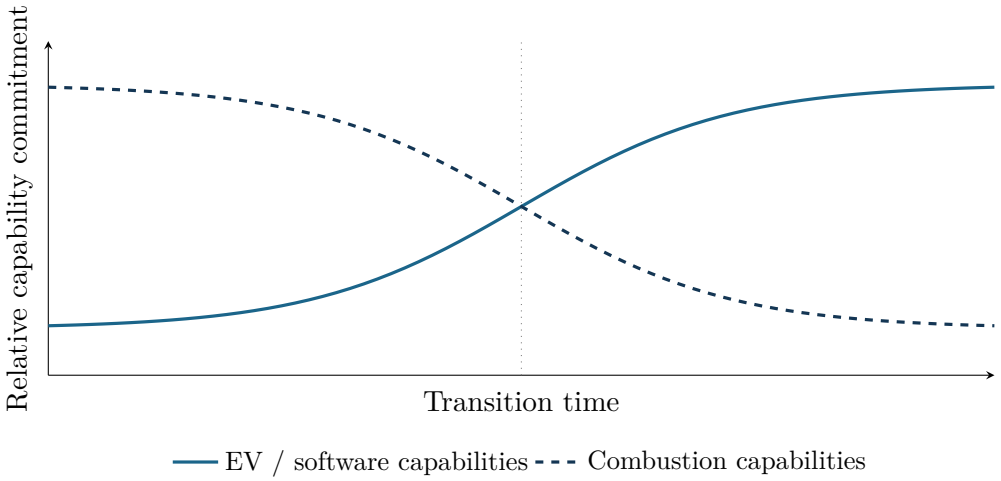


Figure 8: Conceptual X-strategy: capability reallocation, not a measured industry forecast. Curves are illustrative and smooth for readability.

We have a strategic dilemma: Established products can fund future development, yet delaying investment threatens relevance. The appropriate pace balances cash flows, capability building, customers, and organizational readiness.